



New Jersey Pharmacy Agrees to Resolve False Claims Act Allegations for Billing for Drugs Not Dispensed

Tuesday, January 14, 2025

For Immediate Release

Office of Public Affairs

Medsinbox Pharmacy LTC LLC, doing business as Farmacia San Antonio (Medsinbox), a pharmacy located in Camden, New Jersey, has agreed to pay \$625,000.00 to resolve allegations that it violated the False Claims Act by knowingly billing federal health care programs for medications that it never dispensed.

The United States alleged that, from Jan. 1, 2019, through Jan. 24, 2022, Medsinbox caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries. The government contends that inventory records showed that Medsinbox did not purchase enough of these medications from wholesalers to fill all of the prescriptions billed to these federal health care programs.

"Health care providers defraud federal health care programs when they bill for goods or services that they did not provide," said Principal Deputy Assistant Attorney General Brian M. Boynton, head of the Justice Department's Civil Division. "We will hold accountable those who improperly seek to profit from taxpayer funded programs."

"Pharmacies play an important role in maintaining the safety and accuracy of prescribed medications, and allegedly billing for medications not actually dispensed undermines that role and defrauds our healthcare programs," said Acting U.S. Attorney Vikas Khanna for the District of New Jersey. "The government will continue to pursue entities that engage in fraud and abuse at the taxpayers' expense."

The resolution obtained in this matter was the result of a coordinated effort between the Civil Division's Commercial Litigation Branch, Fraud Section, and U.S. Attorney's Office for the District of New Jersey.

The investigation and resolution of this matter illustrates the government's emphasis on combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and

complaints from all sources about potential fraud, waste, abuse and mismanagement can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

Senior Trial Counsel Jennifer Cihon of the Justice Department’s Civil Division and Assistant U.S. Attorneys Kruti Dharia and Robert Toll for the District of New Jersey handled the matter.

The claims resolved by the settlement are allegations only. There has been no determination of liability.

[Settlement](#)

Updated February 6, 2025

Topic

FALSE CLAIMS ACT

Components

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Press Release Number: 25-52



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